The auditor has to check that all legal official procedures have been fulfilled subject to the provisions of the Companies Act.

(h) **Certificate of Commencement of Business:** A public company has to get Certificate of Commencement of business before it commences its business. The auditor should examine the Certificate of Commencement of business in case of a public company.

(i) **Previous Year Balance Sheet, Profit and Loss Account and Audit Report:** The auditor has to verify the last year Balance Sheet and ensure that the balances are correctly recorded in the current books. He has to check the minutes book of the share holders about the adoption of the accounts. Moreover, he has to get the copies of last year's Profit and Loss Account and Balance Sheet which is required for conduct of his audit work. He should ensure that the objections or qualifications raised in the previous audit report have been duly met by the company. He should examine the Directors report to the members containing the recommendations of the Directors in respect of the appropriations of profits made last year.

LEGAL DECISIONS

In a case between *State Steel Trust Co. Vs. Ernst*., a client raised a loan on the basis of audited accounts, it was held that the auditors duty of reasonable care and skill extends not only to the client but also to third parties who relied on the audit report.

3. Other Information

(a) **System of Accounting:** The auditor has to study the accounting system followed in the company and has to observe the inefficiencies.

(b) **List of Officers:** The auditor has to obtain the list of officers in the company with their specimen signature.

(c) **Evaluation of Internal Check and Control System:** The auditor has to obtain detailed information about the internal check and internal control system in the company. This will enable him to identify the defects in the accounting system. Further, he has to verify the recommendations, if any, made in the last year audit report.



3.5 Audit of Trusts

Trusts are formed under the Indian Trusts Act for charitable and religious purposes. Trustee is a person who manages trust property and executes the business of the trust. His duty is to work for the benefit of beneficiary and distribute income of the trust to the beneficiaries. The operations of trusts are governed by a Trust Deed. Very commonly it is found

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